

**Time:** 4 minutes**Outcome:** Distinguish Efficiency, Equity & Limits of Surplus Analysis.**Difficulty:**

Intermediate

Efficiency, Equity & Limits of Surplus Analysis



THE CORE IDEA

Efficiency concerns the size of total surplus, while equity concerns how benefits and costs are distributed. The efficiency result is positive analysis; deciding whether the distribution is fair adds a normative criterion. Surplus analysis compares value created with the opportunity cost of the resources used. Observed willingness to pay reflects both preferences and purchasing power. Efficiency and equity are different criteria; maximizing total gains does not determine how those gains are shared.



HOW TO RECOGNIZE IT

- Use total surplus to evaluate efficiency and distributional evidence to evaluate equity.
- Recognize that the allocation with the largest total surplus need not be the most equal.
- Remember that measured willingness to pay depends partly on ability to pay.
- A policy judgment requires an explicit value choice when efficiency and equity point in different directions.



WATCH OUT

Do not treat efficiency as equity. Observed willingness to pay reflects both preferences and purchasing power. A has \$150 private surplus but \$110 after the external cost; B has \$140 and no stated external cost.



WORKED EXAMPLE: WEIGHING EFFICIENCY AND EQUITY

Policy A creates \$500 of total surplus divided evenly between buyers and sellers. Policy B creates \$520 of total surplus but gives \$500 to sellers and \$20 to buyers. Policy B is more efficient because total surplus is larger, but whether its distribution is more equitable is a separate normative judgment.



CHECK YOURSELF

A student says efficiency requires equal gains. Correction?

**READY?**

Return to the game and master this concept.